

ORDER INTAKE RECOGNITION & MEASUREMENT

Policy & Control Standard

POLICY ID	POL-ORD-001	VERSION	2.0
STATUS	ACTIVE / IN FORCE	EFFECTIVE	January 2025
CONTROL ID	CTRL-REV-014	PROCESS AREA	Order-to-Cash (O2C)
OWNER	Group Finance – Revenue Assurance	CHANGE BASIS	2024 internal audit cycle

ACTIVE / IN FORCE

Current controlled version. Use this version for current audit planning and control testing.

1. Purpose

This policy establishes the principles, criteria, and controls governing the recognition and measurement of Order Intake across the Company. This version supersedes v1.0 and introduces enhanced controls following the 2024 internal audit cycle.

2. Scope

This policy applies to all business units, regions, and legal entities that generate, process, or record customer orders under the Order-to-Cash (O2C) cycle, including:

- Hardware and Software arrangements
- Standalone Services arrangements
- Bundled multi-element arrangements

3. Definitions

3.1 Order

A binding agreement between the Company and a customer, evidenced by BOTH a Purchase Order AND a countersigned contract (see 5.2).

3.2 Order Backlog

The cumulative value of Orders recognized as Order Intake but not yet delivered, fulfilled, or recognized as revenue.

4. Roles and Responsibilities

Role	Responsibility
Sales Operations	Order capture; ensures PO + contract obtained
Finance Business Partners	Recognition criteria review
Regional Finance Head	Risk sign-off (elevated from v1.0)
Group Treasury	Publishes month-end FX spot rates
Group Finance (Revenue Assurance)	Policy ownership and testing

5. Order Intake Recognition and Measurement

5.1 Recognition Criteria for Order Intake

An order shall be recognized as Order Intake when ALL of the following conditions are met:

- A legally binding contract or Purchase Order (PO) exists, AND
- The order value can be reliably measured, AND
- Collectability is reasonably assured (see 5.3).

KEY CHANGE FROM v1.0

Collectability is now a recognition precondition, not merely a downstream approval trigger.

5.2 Customer Commitment

Customer commitment must be evidenced by BOTH:

- A signed Purchase Order
- A countersigned contract

Orders supported by a PO alone do NOT qualify for recognition.

5.3 Collectability Assessment

5.3.1 Risk Scoring Model

Collectability is assessed using a combined weighted risk score:

$$\text{Risk Score} = (0.40 \times \text{Credit Rating Score}) + (0.35 \times \text{Payment History Score}) + (0.25 \times \text{Country Risk Score})$$

Each component is scored on a 0–100 scale. Credit Rating Score is derived from Group Credit Risk classification; Payment History Score is based on trailing 12-month payment behavior; Country Risk Score is published quarterly by Group Treasury.

Risk Score Range	Classification	Action Required
80–100	Low Risk	None
50–79	Medium Risk	Standard booking
Below 50	High Risk	Regional Finance Head review

5.3.2 Escalation Requirements

Orders scoring below 50 require MANDATORY Regional Finance Head sign-off prior to booking.

5.4 Timing for Booking of Order Intake

Order Intake shall be booked ONLY once BOTH of the following are received and verified by Finance:

- Signed Purchase Order
- Countersigned contract

5.5 Orders in Non-Euro Currencies

5.5.1 Conversion Methodology

$$\text{Converted Order Value (EUR)} = \text{Order Value (Local Currency)} \div \text{Month-End Spot Rate}$$

The Month-End Spot Rate is published by Group Treasury as of the booking date.

5.5.2 FX Variance Control

$$\text{FX Variance (\%)} = |\text{Booking Rate} - \text{Order Date Rate}| \div \text{Order Date Rate} \times 100$$

If FX Variance (%) > 5%, the order must be:

- Flagged in the system
- Routed to the Controller for review prior to final booking

6. Order Intake Approvals

Refer to POL-ORD-003 v2.0 for the revised delegation of authority matrix and thresholds.

7. Exceptions and Escalation

Deviations require Regional Finance Head approval, with escalation to Group Finance for exceptions exceeding \$100,000 in order value.

8. Related Policies

- POL-ORD-002: Order Intake Value & SSP Allocation Policy
- POL-ORD-003: Order Intake Approval & Backlog Management Policy

9. Revision History

Version	Date	Summary of Change
1.0	Jan 2023	Initial policy issuance
2.0	Jan 2025	Dual-document commitment; weighted risk scoring; new FX conversion section; elevated approval authority

CONTROLLED DOCUMENT

POL-ORD-001 | VERSION 2.0 | ACTIVE / IN FORCE